

may grant a reasonable husbandry lease (*a*), in the fair management of the estate (*b*). But he has no power to demise where it is a simple trust, and the *cestui que trust* is in possession, except he do it with the *cestui que trust's* concurrence. And *prima facie* a trustee for sale would not be justified in granting a lease (*c*). And though a trustee may grant a farming lease, it does not follow that he could grant a mining lease, for the latter is *pro tanto* a destruction of the *corpus* (*d*).

[Trustees having power to grant leases to "any person or persons" may lease to a limited company (*e*).

By sect. 43 of the Agricultural Holdings (England) Act, 1883 (*f*), when, by any instrument, a lease of a holding is authorised to be made, provided that the best rent or reservation in the nature of rent is reserved, on a lease to the tenant of the holding, it shall not be necessary, in estimating such rent or reservation, to take into account against the tenant the increase (if any) in the value of such holding arising from improvements made or paid for by him.]

53. **Powers of directors, &c.**—The managers of a trading company or partnership have no power, whatever the necessity of the case, to borrow money beyond the capital prescribed by the Act or deed of settlement, so as to give the lenders a remedy against the company (*g*). And where, without any special authority being conferred by the deed of settlement, money is borrowed for launching or enlarging the concern, the managers (though made to pay upon their personal liability under the contract) have no remedy over against the other members of the company (*h*). But every

(*a*) See *Naylor v. Arnitt*, 1 R. & M. 501; [*Fitzpatrick v. Waring*, 11 L. R. Ir. 35;] *Bowes v. East London Waterworks Company*, Jac. 324; *Drohan v. Drohan*, 1 B. & B. 185; *Middleton v. Dodswell*, 13 Ves. 268; [and cf. *Ferraby v. Hobson*, 2 Phil. 255.] But see *contra*, *Wood v. Patteson*, 10 Beav. 541; *Re Shaw's Trust*, 12 L. R. Eq. 124.

(*b*) See *Attorney-General v. Owen*, 10 Ves. 560.

(*c*) *Evans v. Jackson*, 8 Sim. 217;

and see *Micholls v. Corbett*, 34 Beav. 376.

(*d*) *Wood v. Patteson*, 10 Beav. 544.

(*e*) *Re Jeffcock's Trusts*, 51 L. J. N. S. Ch. 507.]

(*f*) 46 & 47 Vict. c. 61.]

(*g*) *Burmester v. Norris*, 6 Exch. 796; *Ricketts v. Bennett*, 4 C. B. 686; and see *Hawtayne v. Bourne*, 7 M. & W. 595; *Hawken v. Bourne*, 8 M. & W. 703.

(*h*) *Re Worcester Corn Exchange*